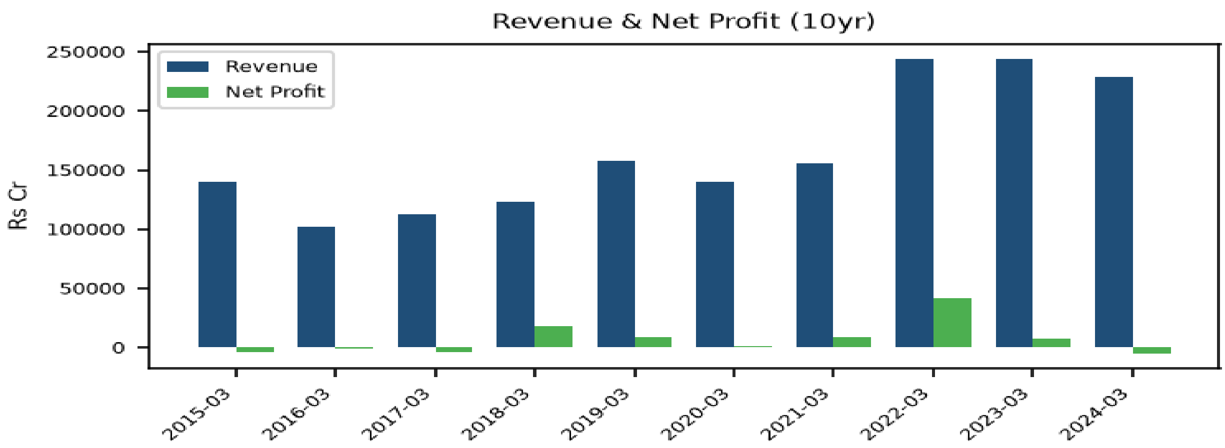
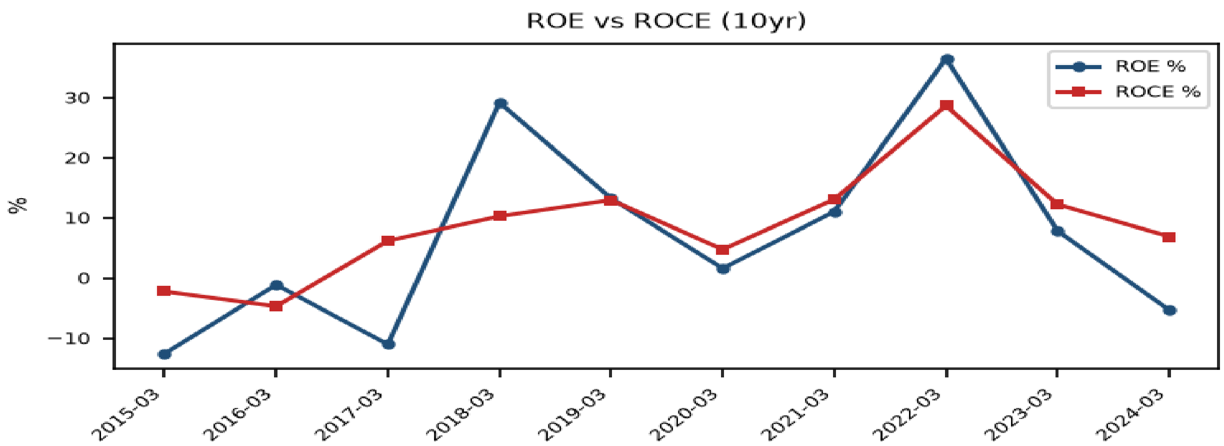
Tata Steel Ltd (TATASTEEL)

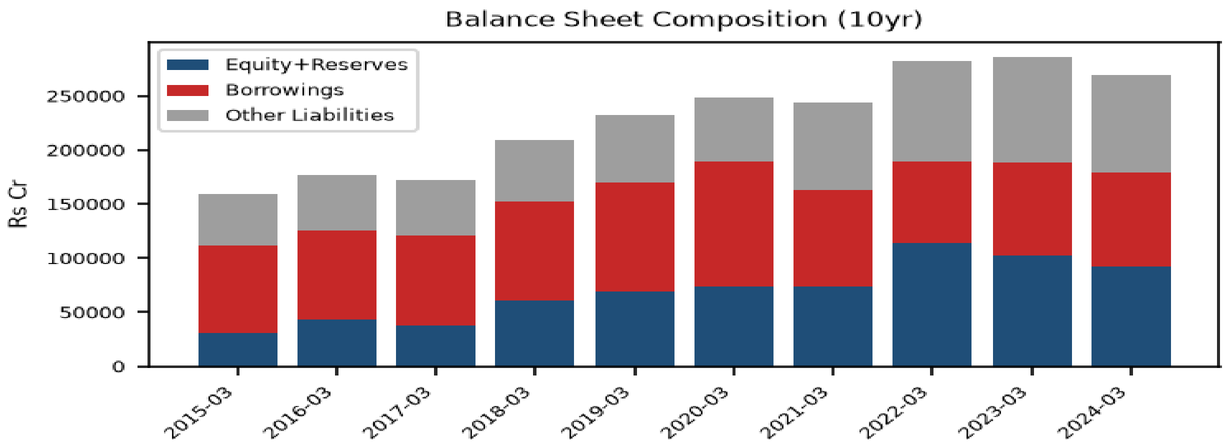
Sector: Materials

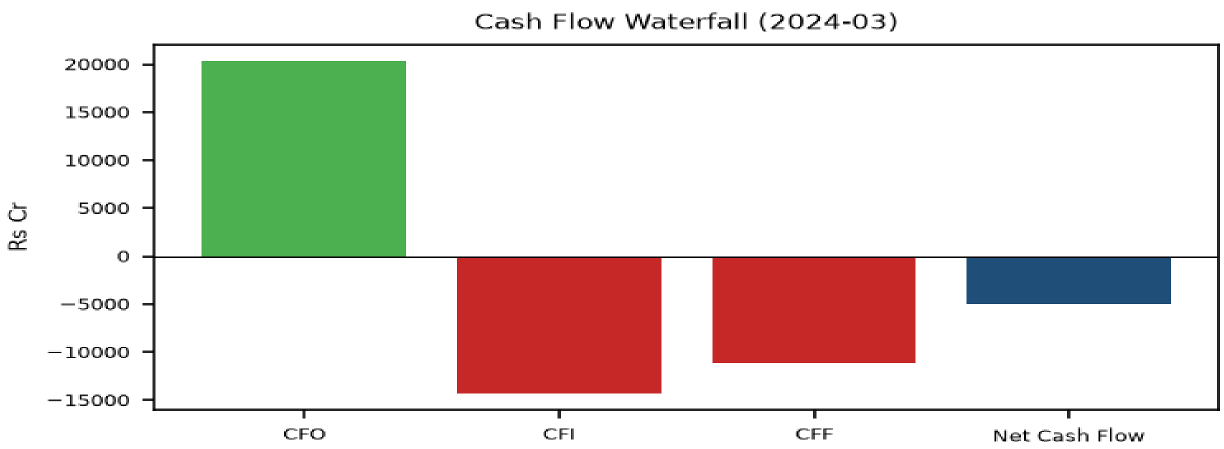
ROE	ROCE	D/E
-5.3%	**6.9%**	**0.95x**

OPM	Revenue CAGR 5yr	Free Cash Flow
9.7%	**7.8%**	**Rs 6,048 Cr**









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Company reported a net loss in the most recent financial year
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor